



For professional investors only | markets 2026-07-09/10 · inflation May 2026 | As-of 2026-07-11 18:00 CET | Reading time ≈ 4 minutes |
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Market stress stays benign; the labour data beneath the calm deteriorated this week.

Stress CALM · **Inflation** WATCH · **Evidence strength** Low–moderate · inflation regime NONE → WATCH since 2026-03

THE RECORD — regime history



Market-stress regime unchanged and calm: equity volatility 15.8, the yield curve positive, credit spreads tight. The inflation axis holds at WATCH — consumer prices 4.5% year-over-year on this report's merged series, with the May print energy-led. The new information this week came from the labour side: June payrolls rose 57,000 against roughly 110,000 expected, the two prior months were revised down a combined 74,000, and the labour force shrank by 720,000 — participation now at its lowest since March 2021. The unemployment rate fell while fewer people worked or looked for work. The two axes of this report still disagree, and the labour readings sharpened the disagreement. Between scheduled data releases, the published state moves only on the pre-registered falsifiers listed below — headlines and commentary, including this report's own, change nothing by themselves.

FORWARD TESTS — pre-registered, counting down

Labour-slack sign — reg. 2026-06-23; grades 2026-08-07 (in 27 days)

Inflation-regime transition — live; grades on next CPI print (2026-07-14) (monthly)

WHAT WOULD PROVE THIS WRONG

- ☐ Real policy rate turns restrictive ($\leq -1\%$)
- ☐ Sixth straight month of CPI $\geq 4\%$ year-over-year
- ☐ Volatility or credit breaks the calm

Hash-committed before publication · verify github.com/foxtrot76/krino-commitments

The thesis

Active reading (≈70%)

A calm market-stress regime coincident with an inflation axis at WATCH — and, this period, labour data moving against the calm: payroll growth at a four-month low with downward revisions, and an unemployment rate falling on labour-force exit rather than hiring. The stress panel is, by construction, tuned to deflationary and liquidity stress and reads benign; the separately validated inflation axis and the labour-slack signal carry the divergence. Published state moves only on a pre-registered falsifier — none was met this period.

Strongest opposing case (≈20%)

Each of this period's adverse readings has a benign competing explanation with a scheduled test. The participation decline may be labour supply — an immigration slowdown and ageing — rather than discouragement; the pre-registered payroll test of 2026-08-07 discriminates. The growth-nowcast decline is attributed by some analysts largely to trade-gap accounting, with private domestic demand estimates near 2.5%. And an energy-led CPI bump that fades before the six-month arm completes would return the inflation axis to NONE — the WATCH, in hindsight, a false positive of a young live axis (live record: $n = 1$).

Rejected alternatives (≈10%)

Alternative	Rejected because
Acute market-stress regime	Volatility 15.8, curve positive, credit benign
Imminent recession	Jobless claims 215,000 and flat; the labour-slack question is open, not resolved

The evidence

Signal	Reading	Threshold	Status
Equity volatility (VIX)	15.84	< 20	calm
S&P 500	7,575	—	near high
Yield curve (10y – 2y)	+0.35	> 0	positive
High-yield credit spread	below tripwire	< 1.44	benign
Initial jobless claims	215,000	< 300k	low
Market-stress index	MILD	—	below bands

Inflation-regime axis

Component	Value	Threshold	Fires
CPI, year-over-year	4.47%	≥ 3%	yes
CPI, 3-month annualised	10.6%	accelerating	yes
Months ≥ 4% year-over-year	2 of 6	6 to arm	no
Real policy rate	−0.88%	≤ −1.0%	no
Real-equity erosion	—	depressed	no

Method

Coverage map — maturation: Observed → Monitored → Instrumented → Scored

Coverage area	Stage
Market stress — vol, credit, liquidity	Scored
Inflation regime	Scored (live)
Labour slack	Scored
Commodity / energy shocks	Monitored
Private credit	Watch
Geopolitics / chokepoints	Observed

Named blindspots

Commodity and energy supply shocks are monitored but not scored. The stress panel is structurally insensitive to inflationary regimes; that gap is partially covered by the inflation-regime axis, added for it. Private-credit stress is not visible in public spreads and is watched, not scored.

Live forward tests

Labour-slack sign — reg. 2026-06-23; grades 2026-08-07 (in 27 days)

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Governance

Layer status

Validated (shown as validated): market-stress axis; inflation-regime axis. Provisional — under evaluation: the multi-thesis interpretation layer (dual-read shown for transparency; promoted only when its validator is operational and the evaluation phase clears).

Independent review — red-team, not user/subscriber feedback

OpenAI — partially agreed. Main concern: the report still over-explains its own rigour; let structure speak.

DeepSeek — partially agreed. Main concern: wanted stronger visual hierarchy; decoration declined as off-identity.

Published state never moves on review count. Challenges are logged (CH-nnn); the state changes only on a pre-registered falsifier.

Submit a challenge (classified under the challenge-intake taxonomy): krino.reviews@gmail.com

Appendix A — Audit

For verification. Durable technical record; optional for ordinary readers.

Locks & provenance

Item	Value
Understanding-model lock	v15 8d4515ed
Thesis ontology (frozen)	v1.0 ff5466c3
Inflation Regime Sensor	r297 — frozen
Commitment log	github.com/foxtrot76/krino-commitments

Open challenges

ID	Challenge	Opened	Status	Severity
CH-001	Live inflation axis unvalidated (n=1)	2026-07-06	Open	Med
CH-002	Panel deflation-tuned — coverage partial	2026-07-04	Monitored	Med

Strongest outstanding challenge

The inflation-regime axis is live but unvalidated (n=1); its first WATCH could be a false positive. Open — would change the weight on the inflation reading; adjudication begins with the July and August consumer-price prints.

GLOSSARY

WATCH

An inflationary configuration flagged, not a confirmed regime.

Arms the regime

Meets the count needed to confirm a regime (6 months ≥ 4%).

Corroborator

A secondary signal required to confirm the primary one.

Live axis

A validated signal in its first live readings (small sample).

Falsifier

A pre-registered condition that, if met, moves the state.

Method: KRINO classifies macro regimes from public data under a fixed protocol — hypotheses and their falsifiers are hash-stamped before evaluation; thresholds frozen before validation; instruments adopted only after out-of-sample validation and independent review; every revision and defect logged.

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